SM Energy Lease Property and Worksite Access Policy
Contractors, Sub-Contractors, Vendors and Visitors

I. Statement

It is the responsibility of the SM Energy Security Department and contracted gate guard service company to provide a secure and stable physical environment.

II. Purpose

The purpose of this document is to clarify and delineate the process by which SM Energy Contractors, Sub-contractors, Vendors, and other visitors are authorized for access into any SM Energy owned or leased property, worksite or lease road (here forth referred to as SM Energy facilities), and the conditions for controlling that authorized access.

- Policies and procedures governing SM Energy Employees and Resident Contractors are governed by the South Texas SM Energy Property and Worksite Access Policy.

- Policies and procedures governing access to the SM Energy- Catarina Field Office and associated facilities will supersede this policy at that location.

III. Guidelines and Applicability

A. **All SM Energy facilities are controlled access locations.**

In the interest of safety, and to maintain continuous operations, it is necessary to limit access to those people who have a legitimate business reason to be there, who are visiting a specific employee at an SM Energy facility, or have a legitimate need to travel on an SM Energy lease road.

These procedures apply to access on all SM Energy facilities. These procedures and standards must be adhered to by any and all persons who may have occasion to enter any SM Energy facility for any reason.

B. **Entry to all SM Energy facilities must be recorded**.

There must be a record maintained of all persons who enter or exit any SM Energy facility. This recording may be accomplished through the use of a card access control system, a sign in log, video monitoring system, photography, or other mechanism. No one will be permitted into any SM Energy facility or allowed to travel an SM Energy lease road unless they present an Approved Form of Identification as listed in section IV.B (Approved Forms of Identification for SM Energy Contractors, Sub-Contractors, Vendors and Visitors) of this policy.

C. **All persons on any SM Energy facility must prove identity, whether they are a Contracted Employee, Sub-Contractor, Vendor or Visitor.**

Contractors, Sub-Contractors, Vendors or Visitors who are unable to present proof of identity or refuse to produce an Approved Form of Identification should be considered a security risk, and must be immediately reported to the SM Energy SCADA Control Room. The SM Energy Security Supervisor will contact the violator's management staff and apply disciplinary action as appropriate.

D. **Responsibility to help ensure the security and safety of fellow workers and facilities.**

Although we have gate guard officers on duty 24 hours a day, and an Access Control Policy to prevent unauthorized access, everyone must take responsibility to ensure facility security as well. Facility security must not be compromised by propping gates open or leaving a gate unlocked to let someone in the lease. Taking such actions lessens facility security and increases the risk to everyone on the leasehold. Individuals who are unable or willing to produce an Approved Form of Identification must be immediately reported to the SM Energy SCADA Control Room. Visitors must also report any security irregularities to the SM Energy SCADA Control Room, such as gates left open or unlocked.

IV. Procedures

A. Access Control System.

Access control to all SM Energy facilities and lease roads is managed through mandatory use and archiving of Approved Forms of Identification.

1. Gate Guard Officers will record every vehicle entering and exiting all SM Energy facilities. Gate Guard Officers will inspect and record, at a minimum, the identity of each driver entering the SM Energy facility.

2. Contractors, Sub- Contractors, Vendors and Visitors must present a valid Approved Form of Identification to enter or exit any SM Energy facility or travel on any SM Energy lease road. All motor vehicle operators must possess a verifiable valid government issued driver's license appropriate to the type of vehicle being driven.
   Gate Guard Officers, at their discretion, may request identification from every occupant entering or exiting an SM Energy facility.

3. SM Energy Employees will not facilitate the entry of another person into any SM Energy facility, or any adjacent property unless they are the escort for that person.

B. Approved Forms of Identification for SM Energy Contractors, Sub-Contractors, Vendors and Visitors.

Approved Forms of Identification for Contractors, Sub-Contractors, Vendors and Visitors are limited to a verifiable valid government issued identification card displaying a validity date, photo, and signature. Acceptable Approved Forms of Identification are:

a. Valid State Issued Motor Vehicle Operator's License (All motor vehicle operators must possess)

b. State issued personal identification card.

c. Federal or other United States Government issued identification card as approved by SM Energy Management.

Photocopies or otherwise altered ID cards are not acceptable forms of identification.

C. Possession of Approved Forms of Identification while at an SM Energy Facility.

1. All SM Energy Contractors, Sub-Contractors, Vendors and Visitors must possess their Approved Form of Identification as listed in section IV.B (Approved Forms of Identification for SM Energy Contractors, Sub-Contractors, Vendors and Visitors) at all times while on SM Energy facilities.

2. All persons found on any SM Energy facility without proper identification, or unwilling to produce an Approved Form of Identification, must be reported immediately to the SM Energy SCADA Control Room.

D. Policy violations.

1. Anyone who notes a violation of this policy must report the violation to the security officer on duty or appropriate management level personnel as soon as possible.

2. The SM Energy Security Supervisor will record information regarding the violation and forward the report to the appropriate management personnel and/or law enforcement agency.

3. Employees or Contractors who admit visitors into any SM Energy facility without ensuring they are properly signed in will be deemed in violation of this access policy.

4. Threatening comments, harassment, or confrontational behavior toward any SM Energy employee or gate guard is prohibited and will not be tolerated.

5. SM Energy Management will contact the violator's company management and apply disciplinary action as appropriate, up to or including termination or a permanent ban from all SM Energy Facilities.

VI. Responsibilities

- All SM Energy Contractors, Sub-Contractors, Vendors and Visitors are responsible for complying with these procedures and standards.
- Supervisory Contracted Personnel: Managers and Supervisors are responsible for enforcing compliance by all Employees, Contractors, Sub-Contractors, Vendors and Visitors under their contractual or supervisory control.
- SM Energy Staff: Staff and management are responsible for implementing, monitoring, enforcing, and complying with these procedures and standards.

VII. Definitions

A. Access Controlled Area: Any SM Energy facility to include but not limited to: All Owned Property, Leased Property, Well Sites, Well Pads, Lease Roads and Tank Batteries.

B. Contractor, Sub-Contractor, Vendor or Visitor: Any other person who is not an SM Energy Employee or Resident Contractor (See "D" for definition of Resident Contractor).

C. Policy, access policy, access control policy: This document, "SM Energy Lease Property and Worksite Access Policy" may also be referred to as the policy, the access policy, or the access control policy.

D. Resident Contractor: A person contracted to perform work for SM Energy who is provided with a workspace or lodging at SM Energy. Resident contractors maintain a work schedule and work habits that are similar to those of full time SM Energy employees.

STX Lease Rules & Hunting Season Work Hours

SM Energy

1) All visitors will possess and display required identification at each entry/exit or when requested by an SM Energy representative. (See Access Control policy)
2) Authorized personnel only.
3) **Speed Limit is 25 MPH on main roads.** Other roads may be slower, as posted. **No exceptions!**
4) **DO NOT stop on the side of the road. In case of emergency find a location to stop at and notify management.**
5) **Violent, harassing, argumentative, threatening behavior or fighting will not be tolerated.**
6) Ranch access is limited to personnel working on said ranch at the time of ingress and egress. Ranch shall not be used as a shortcut to public roads without consent from the landowner.
7) "Lessee shall not be permitted to travel on any road not designated as an oil field road"
8) "Keep all outside and interior gates along the route or routes designated for such use securely closed"
9) No turning around off lease roads. Proceed to nearest location or lease road to turn around.
10) Do not drive or turn around on any pipeline ROW's.
11) During cattle round ups, avoid driving in area of helicopter or mounted horseback herding. There are no set time or schedule for these cattle operations.
12) No foot traffic off lease roads or off locations without prior consent from landowners.
13) Port-a potties are available throughout the lease. Use them, not the brush!
14) "No employee, representative or contractor of SM Energy or any other person allowed to come upon said land by SM Energy, shall be permitted to hunt, fish, swim, camp, or picnic on said land, and no dogs, gun, firearm, fishing equipment or other sporting paraphernalia of this type will be permitted on the premises" This includes camouflage clothing and jackets.
15) No drugs or alcohol on the ranch.
16) No littering on roadways. Pick up all trash from locations-even if it's not yours.
17) No vehicles in any areas where we have no operations or work being performed.
18) "Do not remove any artifacts, cacti shrubs, rocks or other natural features from the land" No Indian artifacts, deer antlers, skulls, etc. may be picked up or taken from ranch.
19) Do not intentionally run over any snakes or animals.
20) Report all property damage to nearest gate guard and supervisor immediately. This includes animals and livestock.
21) Do not use any water from a pit unless it was pumped there for our use. Rain water does not belong to SM Energy and cannot be used for operations unless permitted by the state.
22) No fences may be built or taken down without prior permission from landowner.

Violation of any of these Lease Rules can result in the immediate removal and banning of the violator from all SM Energy locations.

SM Energy Company – South Texas
Speed Violation Policy

Unless otherwise posted, the speed limit on all SM Energy leasehold is 25 mph.

Anyone driving above the posted speed limit is subject to the following disciplinary action:

26-34 mph

1st Violation: Verbal warning with notification to the management staff of the driver's employer.

2nd Violation: Driver will be immediately escorted off the leasehold and will be permanently banned from all SM Energy leasehold.

35 mph +

1st Violation: Driver will be immediately escorted off the leasehold and will be permanently banned from all SM Energy leasehold.

For SM Energy leasehold with a 20 mph posted speed limit, the above categorized violations are reduced to:

21-29 mph

30 mph +

Contractors or vendors with an excessive amount of violations will be handled on an individual basis and may be subject to further action.